

the token's funds. To mitigate this potential problem, safety checks are often embedded in the token transfer to verify whether the contract is registered to support it.

SUPPLY ADJUSTMENT

Supply adjustment applies specifically to fungible tokens and the ability to create (*mint*) and reduce (*burn*) supply via a smart contract. We will now explore these basic primitives along with a more complex system known as a *bonding curve*.

Burn: Reduce Supply

Burning a token means removing it from circulation and can be done in two ways: (1) manually send it to an unowned Ethereum address; or (2) even more efficiently, create a contract that is incapable of spending it. Either approach renders the burned tokens unusable, although the decrease in circulating supply would not be “known” by the token contract. Burning is analogous to the destruction or irreversible loss of currency in the traditional finance (i.e., where worn-out paper currency is burned and replaced with freshly printed currency). In practice, ETH or ERC-20 tokens have frequently and accidentally been burned using both forms; checksumming addresses⁵ and registering contracts⁶ are in place to prevent this from happening.

More common and useful is the ability to intentionally burn tokens as a part of the smart contract design. Here are some example use cases for burning tokens algorithmically: